



March 21, 2023

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Senator Gary A. Winfield
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Representative Steven J. Stafstrom
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Senator Mae Flexer
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Representative Michael D. Quinn
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Representative Craig C. Fishbein
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RE: Connecticut SB 3 – Oppose

Dear Senator Looney, Co-Chair Winfield, Co-Chair Stafstrom, Vice Chair Flexer, Vice Chair Quinn, Ranking Member Kissel, and Ranking Member Fishbein:

On behalf of the advertising industry, we write to respectfully request that you decline to advance Connecticut SB 3.¹ We and the companies we represent, many of whom do substantial business in Connecticut, strongly believe consumers deserve meaningful privacy protections supported by reasonable government policies. However, SB 3's provisions would provide ineffective protections for Connecticut consumers and impose cumbersome requirements on a wide variety of businesses unrelated to the desired aims of the bill. Because the bill would severely hinder Connecticut residents from reaping all of the benefits the Internet has to offer while imposing

¹ Connecticut SB 3 (Gen. Sess. 2023), located [here](#) (hereinafter, "SB 3").



onerous consent requirements that would annoy and frustrate consumers, we ask you to refrain from advancing the bill as its currently drafted.

As the nation's leading advertising and marketing trade associations, we collectively represent thousands of companies across the country. These companies range from small businesses to household brands, advertising agencies, and technology providers. Our combined membership includes more than 2,500 companies that power the commercial Internet, which accounted for 12 percent of total U.S. gross domestic product ("GDP") in 2020.² Our group has more than a decade's worth of hands-on experience it can bring to bear on matters related to consumer privacy and controls. We would welcome the opportunity to engage with you further on the specific issues we have with the bill outlined below.

I. The Bill's Health Data Terms Would Add Unnecessary Friction to Innocuous Transactions and Overwhelm Connecticut Residents With Consent Requests

SB 3's overly broad definition of "consumer health data" would impede Connecticut consumers from receiving useful and relevant information about products and services they may desire. As defined, the term "consumer health data" would include any information that could possibly be related—however tangentially—to the health of a consumer. The definition could be interpreted to include basic data points, such as the fact that a consumer purchased shampoo at a local grocer, attended a fitness event, or signed up to receive promotional notices about specific clothing or footwear restocks. None of this information is inherently related to consumer health, but the bill's broad definition of "consumer health data" could sweep such information into its ambit.

In addition, SB 3's onerous consent requirements would inundate Connecticut residents with an overwhelming number of consent requests for even the most basic of data processing activities. The bill would require Connecticut individuals to provide consent *every time* a regulated entity collects or shares consumer health data and would require a signed written authorization for the sale of consumer health data to *each recipient of such data*.³ These requirements would result in significant consent fatigue for the people of Connecticut instead of providing meaningful privacy protections for consumers. The signed written authorization requirement would introduce considerable friction into consumers' experiences with companies without providing commensurate benefits. SB 3's detrimental—and likely unintentional—consequences would hinder consumers from receiving substantial benefits associated with routine and essential data practices while simultaneously placing overly burdensome requirements on regulated entities that process any information that could even vaguely be related to consumer health. The bill should be updated to narrow the definition of the term "consumer health data" so information that is unrelated to a health diagnosis or condition may continue to be processed to benefit Connecticut consumers.

² John Deighton and Leora Kornfeld, *The Economic Impact of the Market-Making Internet*, INTERACTIVE ADVERTISING BUREAU, 15 (Oct. 18, 2021), located at https://www.iab.com/wp-content/uploads/2021/10/IAB_Economic_Impact_of_the_Market-Making_Internet_Study_2021-10.pdf (hereinafter, "Deighton & Kornfeld 2021").

³ *Id.* at Sec. 1(b)(3), (c)(1)(A), (c)(2).

II. SB 3's Attempt to Protect Minors Threatens Connecticut Residents' Access to Invaluable Information and Resources

SB 3 contains several provisions that purport to advance the privacy interests of minors. However, these provisions are misguided and should be removed from the bill. For example, the bill would prohibit any controller that offers an online service, product, or feature to minors from processing personal data associated with such minors for purposes of targeted advertising, sales, or profiling, or collecting precise geolocation data associated with minors, absent consumer or parental consent.⁴ As drafted, these requirements would prevent Connecticut minors from accessing a wealth of information and content that otherwise would be at their fingertips.

The opt-in consent requirements under SB 3 would have the effect of shrinking the variety of content, viewpoints, voices, and information Connecticut teens can reach. As a result, SB 3 would virtually ensure Connecticut minors will not have the same experience with the Internet as their peers living in other states. If enacted as presently drafted, SB 3 would severely limit Connecticut minors' access to the greatest informational resource in modern history by depriving Connecticut's youth of access to and benefits from the Internet. SB 3's consent-related restrictions could, for instance, severely limit Connecticut minors' access to information about future opportunities, such as colleges, trade programs, military recruitment, employment prospects, and a myriad of other interest areas and resources for their development. The bill's provisions would also restrict minors from being active participants in the digital economy, which could have a significant and negative impact on Connecticut businesses. Connecticut should not enact a law that could hurt minors' ability to plan for their futures or diminish their ability to access products and services that may interest them.

In addition, SB 3's broad applicability to any controller that has "actual knowledge" or "willfully disregards" its users are minors could result in nearly every company falling under the bill's reach. For example, the bill could be read to apply to the online offerings of clothing retailers, professional sports organizations, and restaurants, simply because minors access their websites. To help ensure businesses do not "willfully disregard" minors who access an online service, product, or feature, controllers may require *all* online visitors to pass through "age gates" for access, which would mandate anyone attempting to access the website to provide specific age information to the site owner before reading the webpage's contents. The legislation would significantly hamper all Connecticut individuals—minors and adults alike—from seamlessly moving from one website to the next to reach desired information or content. Moreover, the bill's onerous consent standards and broad reach will severely hinder companies from doing business in Connecticut and degrade the consumer experience online.

SB 3 threatens the future of the vibrant economy Connecticut minors will inherit. The consent requirements in the bill would have negative effects for Connecticut minors and adults. Imposing the bill's requirements onto most of the Internet would decrease innovation, remove vital benefits of the Internet for Connecticut teens, harm the consumer experience, and hamper the data-

⁴ *Id.* at Sec. 4(b).

driven economy. We encourage you to remove the onerous consent requirements related to minors from SB 3.

III. The Data-Driven and Ad-Supported Online Ecosystem Benefits Connecticut Residents and Fuels Economic Growth

Over the past several decades, data-driven advertising has created a platform for innovation and tremendous growth opportunities. A recent study found that the Internet economy's contribution to the United States' GDP grew 22 percent per year since 2016, in a national economy that grows between two to three percent per year.⁵ In 2020 alone, it contributed \$2.45 trillion to the U.S.'s \$21.18 trillion GDP, which marks an eightfold growth from the Internet's contribution to GDP in 2008 of \$300 billion.⁶ Additionally, more than 17 million jobs in the U.S. were generated by the commercial Internet in 2020, 7 million more than four years prior.⁷ More Internet jobs, 38 percent, were created by small firms and self-employed individuals than by the largest Internet companies, which generated 34 percent.⁸ The same study found that the ad-supported Internet supported 79,714 full-time jobs across Connecticut, more than double the number of Internet-driven jobs from 2016.⁹

A. Advertising Fuels Economic Growth

Data-driven advertising supports a competitive online marketplace and contributes to tremendous economic growth. Overly restrictive legislation that significantly hinders certain advertising practices, such as third-party tracking, could yield tens of billions of dollars in losses for the U.S. economy—and, importantly, not just in the advertising sector.¹⁰ One recent study found that “[t]he U.S. open web’s independent publishers and companies reliant on open web tech would lose between \$32 and \$39 billion in annual revenue by 2025” if third-party tracking were to end “without mitigation.”¹¹ That same study found that the lost revenue would become absorbed by “walled gardens,” or entrenched market players, thereby consolidating power and revenue in a small group of powerful entities.¹² Smaller news and information publishers, multi-genre content publishers, and specialized research and user-generated content would lose more than an estimated \$15.5 billion in revenue.¹³ According to one study, “[b]y the numbers, small advertisers dominate digital advertising, precisely because online advertising offers the opportunity for low cost outreach

⁵ Deighton & Kornfeld 2021 at 5.

⁶ *Id.*

⁷ *Id.*

⁸ *Id.* at 6.

⁹ Compare *id.* at 123-24 (Oct. 18, 2021) with John Deighton, Leora Kornfeld, and Marlon Gerra, *Economic Value of the Advertising-Supported Internet Ecosystem*, INTERACTIVE ADVERTISING BUREAU, 106 (2017), located [here](#) (finding that Internet employment contributed 35,814 full-time jobs to the Connecticut workforce in 2016 and 79,714 jobs in 2020).

¹⁰ See John Deighton, *The Socioeconomic Impact of Internet Tracking* 4 (Feb. 2020), located at <https://www.iab.com/wp-content/uploads/2020/02/The-Socio-Economic-Impact-of-Internet-Tracking.pdf>.

¹¹ *Id.* at 34.

¹² *Id.* at 15-16.

¹³ *Id.* at 28.

to potential customers.”¹⁴ Absent cost-effective avenues for these smaller advertisers to reach the public, businesses focused on digital or online-only strategies would suffer immensely in a world where digital advertising is unnecessarily encumbered by overly-broad regulations.¹⁵ Data-driven advertising has thus helped to stratify economic market power and foster competition, ensuring that smaller online publishers can remain competitive with large global technology companies.

B. Advertising Supports Connecticut Residents’ Access to Online Services and Content

In addition to providing economic benefits, data-driven advertising subsidizes the vast and varied free and low-cost content publishers offer consumers through the Internet, including public health announcements, news, and cutting-edge information. Advertising revenue is an important source of funds for digital publishers,¹⁶ and decreased advertising spends directly translate into lost profits for those outlets. Revenues from online advertising based on the responsible use of data support the cost of content that publishers provide and consumers value and expect.¹⁷ And, consumers tell us that. In fact, consumers valued the benefit they receive from digital advertising-subsidized online content at \$1,404 per year in 2020—a 17% increase from 2016.¹⁸ Another study found that the free and low-cost goods and services consumers receive via the ad-supported Internet amount to approximately \$30,000 of value per year, measured in 2017 dollars.¹⁹ Legislative frameworks that inhibit or restrict digital advertising can cripple news sites, blogs, online encyclopedias, and other vital information repositories, and these unintended consequences also translate into a new tax on consumers. The effects of such legislative frameworks ultimately harm consumers by reducing the availability of free or low-cost educational content that is available online.

C. Consumers Prefer Personalized Ads & Ad-Supported Digital Content and Media

Consumers, across income levels and geography, embrace the ad-supported Internet and use it to create value in all areas of life. Importantly, research demonstrates that consumers are generally not reluctant to participate online due to data-driven advertising and marketing practices. One study found more than half of consumers (53 percent) desire relevant ads, and a significant

¹⁴ J. Howard Beales & Andrew Stivers, *An Information Economy Without Data*, 9 (2022), located [here](#).

¹⁵ *See id.* at 8.

¹⁶ *See* Howard Beales, *The Value of Behavioral Targeting* 3 (2010), located at https://www.researchgate.net/profile/Howard-Beales/publication/265266107_The_Value_of_Behavioral_Targeting/links/599ecccc6fdcc500355d5af/The-Value-of-Behavioral-Targeting.pdf.

¹⁷ *See* John Deighton & Peter A. Johnson, *The Value of Data: Consequences for Insight, Innovation & Efficiency in the US Economy* (2015), located at <https://www.ipc.be/~media/documents/public/markets/the-value-of-data-consequences-for-insight-innovation-and-efficiency-in-the-us-economy.pdf>.

¹⁸ Digital Advertising Alliance, *Americans Value Free Ad-Supported Online Services at \$1,400/Year; Annual Value Jumps More Than \$200 Since 2016* (Sept. 28, 2020), located [here](#).

¹⁹ J. Howard Beales & Andrew Stivers, *An Information Economy Without Data*, 2 (2022), located [here](#).



majority (86 percent) desire tailored discounts for online products and services.²⁰ Additionally, in a recent Zogby survey conducted by the Digital Advertising Alliance, 90 percent of consumers stated that free content was important to the overall value of the Internet and 85 percent surveyed stated they prefer the existing ad-supported model, where most content is free, rather than a non-ad supported Internet where consumers must pay for most content.²¹ Indeed, as the Federal Trade Commission noted in its comments to the National Telecommunications and Information Administration, if a subscription-based model replaced the ad-based model, many consumers likely would not be able to afford access to, or would be reluctant to utilize, all of the information, products, and services they rely on today and that will become available in the future.²²

Laws that restrict access to information and economic growth can have lasting and damaging effects. The ability of consumers to provide, and companies to responsibly collect and use, consumer data has been an integral part of the dissemination of information and the fabric of our economy for decades. The collection and use of data are vital to our daily lives, as much of the content we consume over the Internet is powered by open flows of information that are supported by advertising. We therefore respectfully ask you to carefully consider SB 3's potential impact on advertising, the consumers who reap the benefits of such advertising, and the overall economy before advancing it through the legislative process.

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²⁰ Mark Sableman, Heather Shoenberger & Esther Thorson, *Consumer Attitudes Toward Relevant Online Behavioral Advertising: Crucial Evidence in the Data Privacy Debates* (2013), located at https://www.thompsoncoburn.com/docs/default-source/Blog-documents/consumer-attitudes-toward-relevant-online-behavioral-advertising-crucial-evidence-in-the-data-privacy-debates.pdf?sfvrsn=86d44cea_0.

²¹ Digital Advertising Alliance, *Zogby Analytics Public Opinion Survey on Value of the Ad-Supported Internet Summary Report* (May 2016), located at https://digitaladvertisingalliance.org/sites/aboutads/files/DAA_files/ZogbyAnalyticsConsumerValueStudy2016.pdf.

²² Federal Trade Commission, *In re Developing the Administration's Approach to Consumer Privacy*, 15 (Nov. 13, 2018), located at https://www.ftc.gov/system/files/documents/advocacy_documents/ftc-staff-comment-ntia-developing-administrations-approach-consumer-privacy/p195400_ftc_comment_to_ntia_112018.pdf.



We and our members support protecting consumer privacy. We believe, however, that SB 3 would impose overbroad and onerous requirements with respect to health data and minors' privacy that would fail to advance meaningful privacy protections while undermining the benefits of the data-driven Internet for all consumers. We therefore respectfully ask you to decline to advance the bill in its current form.

Thank you in advance for your consideration of this letter.

Sincerely,

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